

DBS Group Holdings Ltd SGX:D05

FQ2 2024 Earnings Call Transcripts

Wednesday, August 7, 2024 10:30 AM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2024-			-FQ3 2024-	-FY 2024-	-FY 2025-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.94	3.93	▲318.09	0.89	3.78	NA
Revenue (mm)	5351.91	5482.00	▲2.43	5521.85	21582.06	NA

Currency: SGD

Consensus as of Aug-08-2024 2:27 AM GMT

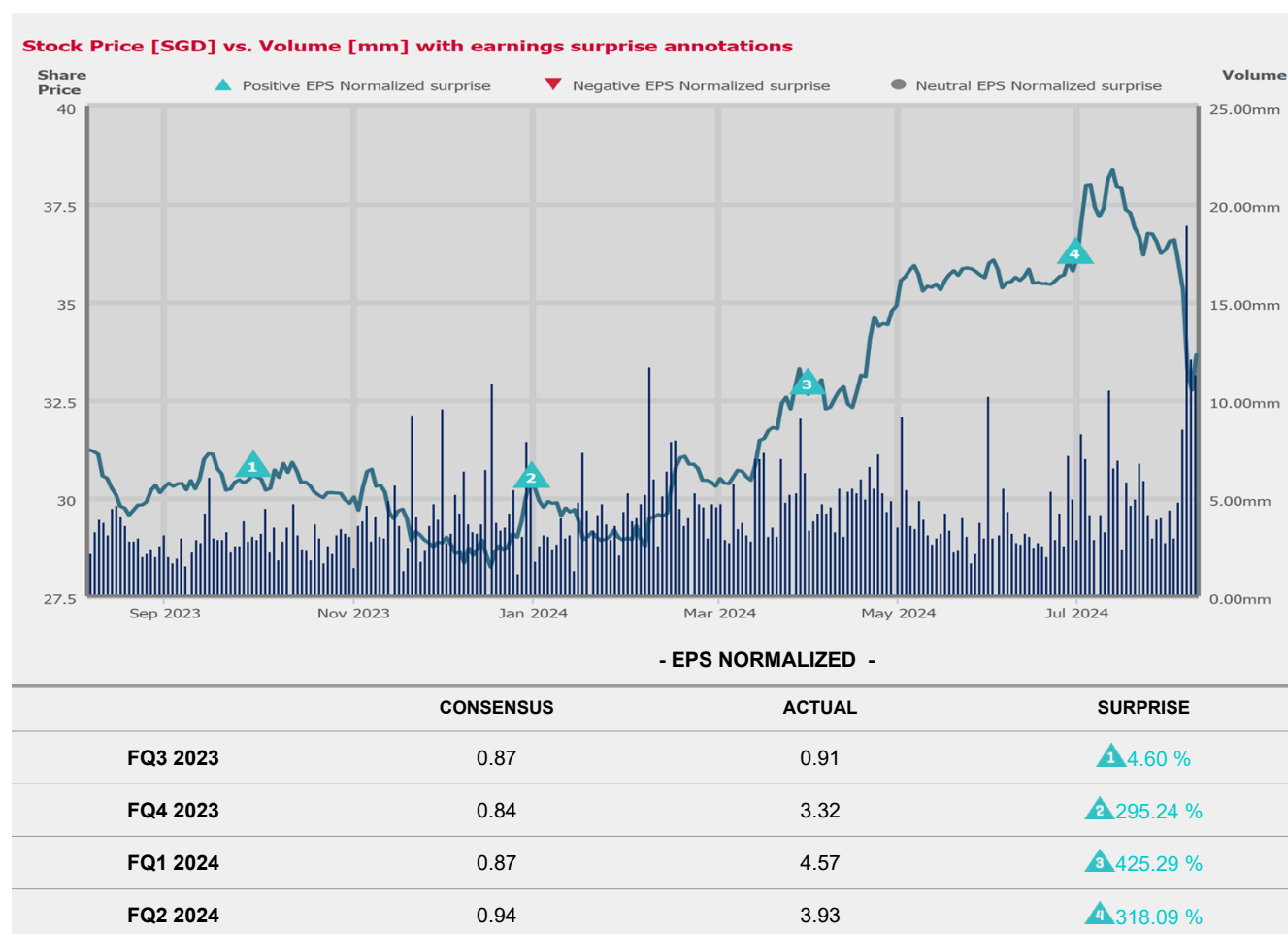


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Call Participants

EXECUTIVES

Nicholas Teh

Piyush Gupta
CEO & Executive Director

Sok Hui Lim
Chief Financial Officer

ANALYSTS

Aakash Rawat
UBS Investment Bank, Research Division

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Jayden Vantarakis
Macquarie Research

Nicholas Lord
Morgan Stanley, Research Division

Tejkiran Kannaluri

Yong Hong Tan
Citigroup Inc., Research Division

Presentation

Nicholas Teh

Welcome, everyone, to the analyst briefing. You've heard the media, so we can go straight to Q&A. We've got Piyush and Sok Hui here to take your questions.

Question and Answer

Nicholas Teh

[Operator Instructions] So without further ado, the first question from Jayden from Macquarie.

Jayden Vantarakis
Macquarie Research

Piyush, congratulations on an excellent tenure as CEO and looking forward to the transition. Just a couple of questions on, I guess, the balance sheet. You mentioned in the briefing earlier that there's \$190 billion of fixed rate assets, which have obviously helped the NIM sensitivity. Is there any hedging that's being put on in addition to that? Or is that sort of part of the fixed rate, if you can sort of elaborate if there's anything in addition to the fixed rate that's helping it?

Sok Hui Lim
Chief Financial Officer

Yes, the hedges are part of the \$190 billion.

Jayden Vantarakis
Macquarie Research

Okay, so it's about 28% of earning assets that are affected then?

Sok Hui Lim
Chief Financial Officer

It's 35% of our commercial book.

Jayden Vantarakis
Macquarie Research

Okay, got it. And one other question just on the fee side, the wealth fee has obviously been very strong. But if you do look at the investment banking, they're quite low and have been for some time. Just strategically, how important is having a more vibrant securities market here to making that a bigger part of the business? And I guess, by extension, does that impact the wealth business as well?

Piyush Gupta
CEO & Executive Director

Honestly, I don't think investment banking is a big fee pool in Asia at the best of times. For us, in a good year, we make like \$350 million, \$400 million maybe on DCM and ECM combined. On a \$20 billion revenue base, that's not very significant at 3%, 4%. And if we were to do much better, the market a lot more vibrant, maybe we could make a little bit more, but it's not huge.

The reality is that the Asian capital markets are over-concentrated and don't pay. If you look at the wallet size in the U.S., you can get 3%, 5% on equity underwriting. In Asia, we get paid 1%, which get split between 5 to 10 underwriters. So it's not that lucrative. Now I mean, I'm overstating the case. It's not that it doesn't make any difference at all, of course, it does. But in the primary market, there is only so much upside.

Now on the secondary market, which is the range of products you can offer to your wealth customers and the other attendant activities you can do around that, that is helpful. A lot of our customers increasingly are buying outside our region, right? They're buying China, Japan, U.S. And obviously, they use us to do to do and redo structures around all of that. But to the extent there were more vibrant capital markets locally, I think we'd get a lot more activity from our customers, that would be helpful.

Nicholas Teh

Next question from Nick from Morgan Stanley.

Nicholas Lord
Morgan Stanley, Research Division

Again, I'd like to just reiterate, but congratulations, Piyush, on a fantastic term as the CEO. And thank you for all the value you've delivered to investors during that time.

Just in terms of a couple of questions from me, again, just back on the hedge ability of \$190 billion of fixed, is there any more after the \$40 billion this year of those fixed assets that can still be priced up, assuming we have, say, 100 to 150 basis points of U.S. rate cuts over the next 18 months? And then if you could maybe give us some indication as to what the duration of these fixed rate assets are?

Piyush Gupta
CEO & Executive Director

Yes. So of the \$40 billion, actually, \$27 billion matured in the first half. There's \$13 billion more, which will mature in the second half. Based on the current listing, in the first half, we've got about 180 basis points to 200 basis point lift. In the second half, we are projecting only 100-odd basis points lift on the balance, \$13 billion book.

If we look at the next year, as the fixed rate assets come mature, we still get some pickup in the first half of the year. By the second half of the year, there's no pickup. In fact, second half of the year, depends on where the rates go, you might actually see a drag. The first half of the year, there is still a little bit of pickup. And if I remember from our modeling, you get -- we get about a \$70 million, \$80 million lift in income from fixed asset repricing for next year as well. It's not huge, but it's still positive.

Your second question, duration, our average duration is about 3.5 years that we've put on between fixed rate mortgages, some hedges and long-term fixed rate bonds.

Nicholas Lord
Morgan Stanley, Research Division

Perfect. And then just on Hong Kong property, in terms of the -- I mean, you described -- I mean, I know it's not big, but you described a couple of assets that were in difficulty. Is this sort of the impact of higher interest rates and lower vacancies? Or would you expect any relief, especially in terms of that shift of GP as interest rates begin to fall?

Piyush Gupta
CEO & Executive Director

I'm hoping that as the rates come off, the worst should be behind us. Because a lot of this is really developers who are -- the high rates, unable to service loans. The rates come off, their ability to service improves. So we should see some improvement in that portfolio.

I think the big thing is really the salability of the underlying. Because we keep adding GP when we see some deterioration in the NIM. But in the ultimate, I would say if the person doesn't pay, then your best thing is you foreclose and sell the property. So the real question is does the property sell and how much haircut do you take? Our loan to values are very conservative. So we could easily stomach a 30% to 50% drop in property values without actually having to take any significant write-offs anywhere.

Nicholas Teh

Next question from Yong Hong from Citi.

Yong Hong Tan
Citigroup Inc., Research Division

This is Yong Hong from Citi. And congrats, Piyush, on your fantastic term. Maybe I'll just ask a few questions. For the first question is on the NIM sensitivity, is this NIM sensitivity referring to the group NII versus previously your \$8 million guidance was just referring to your commercial book? So I think the difference will be coming from the hedges and your expected easing funding costs from that markets book.

And the follow-up would be what other assumption that you have used, such as the pass-through to SORA and based on the duration of the hedges that you shared was 3.5 years with the NIM sensitivity change next year and into 2026? Yes, this is my first question.

Piyush Gupta
CEO & Executive Director

Yes. So the \$4 million is actually for the whole group. It adds everything up. And you've got to remember that next year, if rates come off, the funding drag on the markets book will reduce. And so actually, the markets book has a reverse NIM sensitivity. But the \$4 million is in the entire base. But that includes the hedges we put on, the fixed rate assets we put out.

It also includes the fact that a large part of our CASA moved to fixed deposits. And therefore, the sensitivity you have to rates when you have a large CASA book is obviously not there when you've already given up the margin by moving that money into fixed deposits. So it's all-inclusive.

On the duration, yes, of course, I mean, right now, our modeling covers up to the middle of next year, the sensitivity. Obviously, as fixed rate assets roll off and you put on assets at a different level, that sensitivity number could change. Also if you have a fixed deposit and CASA ratio changes, the sensitivity number can change over time. But over the next 12 months that we modeled it, that sensitivity holds.

Yong Hong Tan
Citigroup Inc., Research Division

Okay, got it. Let me follow up with that on your commercial NIM. I think the margin expansion for your commercial NIM appears to be driven by others if I look at your segmental breakdown. Can we just get more color on what is driving these other segments?

Piyush Gupta
CEO & Executive Director

Sok Hui?

Sok Hui Lim
Chief Financial Officer

Sorry, can you refer me to the table that you're looking at? Because the bulk of our commercial book is driven by fixed asset repricing.

Yong Hong Tan
Citigroup Inc., Research Division

Okay. Because within your commercial book, you have said the others -- I think that's in section within the commercial book.

Piyush Gupta
CEO & Executive Director

Are you looking at the NII page?

Yong Hong Tan
Citigroup Inc., Research Division

Yes, looking at Page 14.

Sok Hui Lim
Chief Financial Officer

14?

Yong Hong Tan
Citigroup Inc., Research Division

Yes, of the financial performance summary. And if you look at half-on-half for second half '23 versus first half '24, the others within the commercial book, I think the NII grew a quite a fair bit in their profit before taxes, so essentially more than doubled. I mean, I believe we can take it offline.

Sok Hui Lim
Chief Financial Officer

Okay. The others in the commercial book will be some corporate treasury activities. So within the commercial, within the sort of others column, there are a few activities. It is also shareholders' funds deployment. It is the duration portfolio that we put on. It is structural FX positions that sometimes, in overseas locations, we get sort of some noise, which we had, the \$100 million I told you about, in the first quarter. So those are the items that go under others.

Piyush Gupta
CEO & Executive Director

But the most important is all our duration management is being done in that line. We do it in corporate treasury, which we hold centrally under the CFO office. So all of the bond purchases we do as well as the hedges we put on are all captured under the line.

Yong Hong Tan

Citigroup Inc., Research Division

Okay, got it. Maybe final question is on loans. Loans growth appears to be driven quite well by your wealth management lending. And just wanting to get more color whether they had been lending to banking clients using their property as collateral either for DBS or is it happening -- or do you see it happening in the market and thoughts if the recent market volatility has been a cause of concern for these clients? This is my last question.

Piyush Gupta

CEO & Executive Director

Yes, wealth management lending hasn't gone up. If you look at the last 6, 8 months, our wealth management lending has been quite flat. So we haven't got loan growth from there at all because people haven't been using leverage. If anything, a lot of the private bank clients have been paying down leverage. And no, generally speaking, we haven't done a lot of property-based lending on that. A large part tends to be on financial securities than loan to value. We might have some property, but it would be very small.

Nicholas Teh

Next question from Harsh from JPMorgan.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Piyush, many congratulations, and thanks a lot, amazing value creation over the last 15-odd years. Can I ask three questions, please? First is on margins, to Nick's question, if I got it right, it seems you have 3.5-year duration on the asset side. So does it mean if you think about this \$4 million per bp of sensitivity, how does that evolve over the next couple of years?

Piyush Gupta

CEO & Executive Director

It depends on how rates do. Because when the -- right now, we've locked in the fixed rate assets, right? We gave up some earnings in the short term. If we had put the money to work in the short term, we could have made 5%, 5.5%. Instead, we locked in assets at 4.5%. And those assets will continue to give us 4.5% for the next 2, 3 years, even as interest rates go down. So that locks it in.

As and when those fixed assets roll over, then we will have to be subject to whatever assets are available in the market at that point in time. So the right way to think about it is that we've protected the net interest income and NIM over 2, 3 years. But as and when those roll over, it depends on what their external interest rate environment is then.

Sok Hui Lim

Chief Financial Officer

It's a market view that we take as well to decide how much to hedge and how much we want in fixed versus floating.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Right. So basically, if the current, let's say, futures curve holds, we should expect this 4 basis point sensitivity to stay intact for next couple of years -- sorry, \$4 million per bp to sustain...

Piyush Gupta

CEO & Executive Director

I think till next June, we modeled it for sure. Then beyond that, we have to go back and take a look at what else is maturing and how much it would move. It won't be very different. It will be marginally different but not massively different.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

And the reason I'm asking is there is a structural sensitivity for the bank's business and then what you were able to take a view and shift it. So has the organizational duration and sensitivity changed because DBS has always been a very rate-sensitive business for

multiple years? Or this is a blip and then we kind of go back to that 4 going back to 15, 20 over a longer period of time? And that's what I was trying to understand.

Piyush Gupta
CEO & Executive Director

Harsh, it's not a structure, it's a management choice. But there's only structural changes, the shift from CASA to FD. The shift from CASA to FD means that in the past, if my money is a liability, then CASA, and I have loans in this thing, let's assume I have 200 basis points spread, and if the rates keep coming down or going up, all of it accrues to the bank. That's what drives maximum interest rate sensitivity.

But in the last 18 months, there's been a massive conversion from CASA to FD. So people are already earning 3% on the FD, right? And so if rates go down, I don't see that compression or depression. That's a structural shift. I think it will reverse. When rates go down, I think we'll start seeing money flow back from FD to CASA. And when that happens, our interest rate sensitivity will go up [indiscernible]. You could argue that, that's a structural shift in the nature of the bank.

But beyond that, it's always a choice of how much you want to lock in and how much you want to let float. Structurally, if we have a large savings pool and CASA pool, and against that, we are happy to ride the market. Then we'll always have very high interest rate sensitivity. You eliminate the sensitivity by locking in both on the deposit side and on the fixed. So it is a management choice, how much you lock in.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Fair point. A follow-on from that is to capital and payout. So there are two parts, the PPOP seems to be doing quite well and, as you said, locked in. Asset quality seems to be quite okay. So then how do we think about over the next 2, 3 years, \$10 billion to \$11 billion seems to be -- and you earlier said margins will do what they will do, a rate cut, potentially higher volume. So in terms of absolute dollar amount of money that can be further returned plus you have Basel III endgame, so how do we start thinking about a very elevated payout ratio for next 3 to 5 years? Is it, in theory, possible, but it would be the Board's thinking on that?

Piyush Gupta
CEO & Executive Director

Yes. So not only in theory, in practice, I told you last time that we recognize we've got too much capital. And we -- if we factor in the Basel endgame, the 5-year transition, then we have \$8 billion to \$10 billion surplus capital to pay out. If we ignore the transition because we only look at the endgame, which means that at the end of 5 years, we'll have to come back to this thing, we still have \$5 billion to \$7 billion that we can pay out, right?

So it's in that ballpark, whether you would look at the endgame or don't look at the endgame, it's in that range of the surplus capital that we can afford to pay out. And it's something that we have exercised. Last time I told you the Board would look at it. And we've actually spent a lot of time looking at it and thinking about it. We have some specific ideas. But like I said in the earlier calls, today is Su Shan's first day. So we just need her to also get comfortable with the capital plans and strategies before we are ready to announce anything.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Okay, fair point. And just to understand -- to close that point out, anything which you think any franchise, any geography that you can add inorganically? Or there is no need, you think the organization is full and complete? Like anything big, small, \$300 million is fine, but anything big in the order of magnitude larger than a few hundred millions?

Piyush Gupta
CEO & Executive Director

Well, I've always said that we are always open to doing bolt-on in countries that makes strategic sense to us. So if I find something appropriate, in India, we would look at it, Indonesia, we'd look at it, but also the minute you get much beyond anything we've done so far. The biggest deal we've done so far is Citi Taiwan. Most of the other deals we've done is a few hundred million, maybe \$1 billion.

So if we look at something, it will be that kind of deal. But yes, we'll be happy to look at any of the countries that we've said makes sense to us. One country, for example, we've talked about in the past that we've been interested in Malaysia. We never get access

to it because of G2G. If something opens up and they change their mind, then of course, we'd go look at it. But nothing has never happened, right? I mean, I've been saying this for 10 years, nothing has happened.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

Right. And the final question, I don't know if Su Shan is also in the room, but any quick thoughts on how you guys work similarly and different or anything that you could guide us as we prepare for a transition in your thought process, in the way bank is run in terms of vision between similarities as well as differences? Anything that you would want to share, that would be great.

Piyush Gupta

CEO & Executive Director

No, I think you should talk to Su Shan later. But I would tell you something that when external ratings agencies and people come and talk to us, the one thing I worry about the most is they think we have a lot of group speak. Because from the top to the bottom of the company, we use the same language and have the same focus and have the same agenda and priorities. So there's a lot of -- because a lot of the work we do, we share, we sit together every week. And we sit for 3 hours every week to discuss what we want to do and where we want to go.

So there's a lot of commonality in thinking and views. And what we've built has not just been my agenda, it's been a common agenda. So I would be surprised if there's some fundamental and different strategy of way of working. Stylistically, of course, there's a difference. Su Shan's style is very different from my style. So there will be stylistic differences, but I don't think any structural or fundamental differences.

Nicholas Teh

The next question is from Aakash from UBS.

Aakash Rawat

UBS Investment Bank, Research Division

Just first, before my questions, I do want to express my admiration, Piyush, for your incredible leadership over the last so many years. And not just from me, I think, almost any banking analysts on this call, it's been an exceptional journey learning from you and seeing you transform DBS and the banking industry. So all the very best to you and a big, big thank you. I'm sure your next chapter will be equally remarkable.

The first question I have is just, I think, out of the Cs that Su Shan talked about, I guess, as you can also imagine from tomorrow onwards, the one C that investors would really focus on will be continuity. And I think as part of that, you said that it's first day for Su Shan, so we don't know what's going to happen. But can you tell us something that investors can take comfort from that there will be continuity on the capital plan and there won't be like a complete U-turn in 6 months' time? Anything to share on that front?

Piyush Gupta

CEO & Executive Director

Aakash, the first thing you've got to start with is the Board. So when you think about capital and capital management, this is not a management decision. The Board drives this. I, of course, have conversations that I've expressed my views to the Board. But finally, the choice of where we put our capital to work is a Board call. And what you've seen in our posture over the last 15 years, we've shooed and kept away from outsized M&As. We've kept away from doing M&As in non-distinct markets, we focused.

This is very, very clearly a Board-driven agenda, right? So I don't see it changing because the Board is not changing. The Board is still consistent with what it wants to do. So that's the first comfort level you should take that the Board manages a lot of these things. And the OB markers and how to run this thing is actually determined actively by the Board.

The second is, like I said, that Su Shan is not new to the team. We've worked together for 12 years. And so when we -- I got her to run the private bank, then she ran consumer bank, then she ran IBG. All of those, I bounce off, I give guidance and advice. But finally, the business has run the businesses.

And therefore, when you look at what we've achieved in any of these businesses, they're a reflection of their own views, which are consistent with my own thinking of what we should do and where we should go. But that's why I made the point earlier, the fact that we have Board continuity and the fact that we have senior management team continuity, that's what you should take a lot of comfort from. It's not just an individual decision that drives these things.

Aakash Rawat*UBS Investment Bank, Research Division*

Okay, makes sense. And then just on the same topic, given the very strong results that you had in Q2, strong capital generation, high CET1 and the willingness to pay out this capital that you have [repeated] many times, what was going on the thinking in terms of when you decided not to pay -- increase the payout in Q2 or pay a special dividend in Q2?

Piyush Gupta*CEO & Executive Director*

The thinking is very simple, we're announcing Su Shan today. So the issue was really that we've not had that chance. As I said, I'm quite transparent. What am I going to use the next 7, 8 months for? I do want to make sure that things which she's going to be responsible for her charter, she gets an opportunity and chance to think about it and influence it. And a lot of times I've seen that the big thing is the previous CEO did 1, 2, 3, 4, 5, and now I've got left with a lemon. I've got -- he stripped the place clean, the larder is bare. We don't have -- I don't want any of that stuff.

So I want to make sure that the new CEO has every opportunity to influence what she thinks is the right thing to do in the future. And of course, because I'm still CEO, so we will talk about it. And hopefully, she will respect my guidance and the guidance of the Board. But to make these announcements without discussing and consulting with her would be inappropriate.

Aakash Rawat*UBS Investment Bank, Research Division*

Okay, makes sense. The next question is a bit more specific. And I think there's a lot of moving parts you have talked about in this call. So if I just look at the cost of funds change half year on half year, it was roughly 15 basis points for DBS. And when I contrast this with UOB, which is only 2 basis points, it does look a little bit higher.

So can I just understand what was driving this increase in cost of funds? And on the contrary, your asset yields were actually much faster or much higher. So they went up a lot more than the peers. So what were the moving parts here that took place?

Piyush Gupta*CEO & Executive Director*

Do you know that, Sok Hui?

Sok Hui Lim*Chief Financial Officer*

I think the cost of funding will reflect the actual market rates. So we are quite transparent. I think in that case of UOB, which we have been also kind of watching, I think they paid up a lot more in the past to secure more CASA and savings accounts. And therefore, I think they have -- they said quite publicly that they are cutting it, so you should see a lower cost of funds.

Aakash Rawat*UBS Investment Bank, Research Division*

Okay. So that's really what's driving the difference here, understood.

Sok Hui Lim*Chief Financial Officer*

That's my guess.

Aakash Rawat*UBS Investment Bank, Research Division*

I think that makes sense. I just wanted to confirm that it does make a lot of sense. Because they did cut deposit rates in the first quarter. And on the asset base...

Piyush Gupta*CEO & Executive Director*

I mean, without getting into nitty-gritty, if you look at this and there, NIMs went up very sharply in the beginning. I think they -- and then they course-corrected. So I think they started cutting -- they raised money very quickly. They went and tried to build up CASA and then they started dropping the rates because they've taken cost of funds quite high. That's my read of it, but I'm only guessing.

Aakash Rawat

UBS Investment Bank, Research Division

Right. Okay. And the asset yield improvement that we saw in half-on-half, I think it was roughly quite big actually, 10 basis points-plus.

Piyush Gupta

CEO & Executive Director

Are you looking at the interest-bearing asset yield?

Aakash Rawat

UBS Investment Bank, Research Division

Yes.

Sok Hui Lim

Chief Financial Officer

From 4.22% -- no, from 4.56% second half to 4.64%, that's quite consistent with the rising interest rate environment during this period.

Piyush Gupta

CEO & Executive Director

We'll do some homework and let you know if there's something there. I haven't focused on it.

Aakash Rawat

UBS Investment Bank, Research Division

Okay, got it. And then again, I think on wealth management, this was a pretty strong quarter, I would think stronger than expectations, given your Q1 was pretty strong with all-time highs. How much of this strength was because of the investment shift, like it was pointed out, 1% increase in investment portion versus the net new money coming in?

Piyush Gupta

CEO & Executive Director

I think both. Because the net new money came in, but we also lost some money this quarter. So typically, in a quarter, what happens, we get like between \$10 billion and \$15 billion comes in, but then some of it flows out, so we get this net \$6 billion. This quarter, we still got that \$10 billion-plus money coming in but more flowed out.

And some of it, a couple of times went to buy some large real estate properties, so they took money out. But a couple of cases, they took money out to fixed deposits and some other international banks who were paying very high interest rates and so on.

But the first part, the net new money continued to be consistent. So a large part of the growth comes from that. But also the shift, the 1% lift from deposit to investment is important. But it's not the only thing. What they invest in is also important.

So what's been happening is customers are actually adding more tenor and doing more products, which are better, better margin products. If they invest in just like govies and securities, we hardly make commission. But when they start investing more in structured product and start investing more in equity-linked structures, we make more margin.

Aakash Rawat

UBS Investment Bank, Research Division

Right. And how has July, August been so far, Piyush? Has it been in line or better?

Piyush Gupta

CEO & Executive Director

July has been in line with that same trend, both net new money and actually income growth in July has been right up there. August is too early to say.

Aakash Rawat

UBS Investment Bank, Research Division

Got it. And based on the past experiences, the 55% number, what is the peak usually, is it 60%? Is it 70%?

Piyush Gupta

CEO & Executive Director

About 60%. Yes, it actually varies. So I'm telling you the average. In the highest and high net worth private bank, it goes up to 85%. In the private client business, it goes up to about 65%. And in the treasuries, the lower mass affluent business, it tends to get up to about 40% or so. So it can average at about 60% or so to that number.

Aakash Rawat

UBS Investment Bank, Research Division

Okay, got it. And just the last question I have is, so you talked a little bit about the Hong Kong CRE portfolio as well. I think one of the numbers that the peers have shared is the LTV on that book. And I think you said you can afford to have prices falling 30% to 50%. Does that mean that the LTV on the Hong Kong CRE portfolio is roughly 50%?

Piyush Gupta

CEO & Executive Director

It's actually south of 50%. So for example, the NPA I said we declared, our LTV on that was 29%, right, which is why I think that will get resolved this week and we'll recover all our money because we've got a bid for the property. So that LTV was only 29%. But on the portfolio, if I remember, it's south of 50%, about 50%-ish maybe.

Nicholas Teh

The next question from Welden from HSBC. We can't hear you, so maybe we will just move on. The next question is Tejkiran from WhiteOak Capital.

Tejkiran Kannaluri

Congratulations, and all the best, Piyush, for what's to come. So I have two questions. Maybe I'll take them one-by-one. But the first was a comment you had made on excess deposits being invested into high-quality liquid assets. I wanted to understand how you think about, let's say, the decision to deploy them in liquid assets versus not taking the deposits and maybe reducing the cost of funds.

How do you think about what's more beneficial for the bank? And sometimes do you perhaps end up taking deposits at higher cost than you want just to maintain the client relationship in the hope of customer-level profitability? How do you generally think about it?

Piyush Gupta

CEO & Executive Director

So two different things. But first of all, if you're getting money, which I can actually deploy at a positive spread and high ROE, I will always take it. So what's happening right now, a large chunk of money, all the central banks, you can just place money with the central bank. You don't even need to go and buy any paper.

And by and large, if you place money with a central bank, you can make an 80, 100 basis point spread. That's 0 risk. If you take money, put it in the central bank, make 100 basis points, it is risk-free. So why would you not do it, right? It's like straightforward. And that kind of money would always do.

Then second, in some cases, we take money, but you go to swap and put into a central bank with a swap on this thing. So we do that as well. So we get money, you can swap it today. You swap money from dollars into renminbi, you go place it into assets in renminbi, you can make even more than that, 120 basis points. It's a good take, but there you're taking some risk. Because you're now taking some country risk and one-way risk. So that will -- there's a finite limit on how much you want to do of that, right, if you're taking any of this thing. But it really depends on it.

So we calibrate that. Now the trade-off we're willing to make is these trades might be dilutive for margin. Because if I go and put an 80 basis point trade, my margin is 200 basis points, obviously, at the margin, the margin will come down, forget the fund. But its ROE is like fantastic ROE. There's no risk in the trade. So I would do it. I would trade off NIM for putting on that trade.

Your other question is how do you think about client considerations? There are two things that we do sometimes. One is on the private bank, it's a well-known thing that you take in money, you pay high interest rates with the hope that you can convert that deposit into investments. A lot of our competitors do a lot of that. I told you we lost some fixed deposit money. People were paying 5.7%, 5.8% fixed deposit rates.

Now if you are paying 5.8% fixed deposit rate, you're obviously losing money because you can only earn 5.3% in this market, right? But they do it because they hope they will convert it later. We don't do that in the private bank. So we tend to make sure that when we bring in money, we can make money on the deposit and then we obviously convert it to investments. So we generally don't do that.

The other time that you sometimes wind up paying more on high fixed deposits, we really have large corporate clients. And to preserve the relationship, you've got to pay high rates. We do it once in a while. It's unusual, but I do -- we give every business unit, what we call, a relationship pot. And it's a finite sum of money, maybe \$5 million, \$10 million or something. And so you can use this to do that kind of stuff if you want to manage a client differently incentivized. But it's -- the volume of that are small and marginal.

Tejkan Kannaluri

Got it. That's really helpful. My second question is on the wealth management AUMs, right? So now across many Asian financial centers, I think we're seeing a common trend across banks of strong fee income being generated through wealth management.

So is there any, let's say, Asia-wide benchmarking or any study you've done to kind of understand where Singapore stands compared to, let's say, Dubai and other financial centers? And the AUM of DBS, any sense of what kind of market share in Asia or APAC that might represent?

Piyush Gupta

CEO & Executive Director

There are a couple of global benchmarks, which are issued, right? I think the total wealth and assets in the industry, Switzerland, Singapore, Hong Kong, we don't do any of our own. So we just rely on what the third-party secondary benchmarks are in terms of total.

But what we -- anecdotally, it's quite clear to us that within Asia, if we exclude Dubai, I don't know Dubai AUM, but within Asia, Singapore is continuing to get a disproportionate share of money flows coming in.

And within Singapore, we use other factoids, anecdotally. Of the 1,000 or 1,100 family offices that have got opened in Singapore, for example, we have some 50% market share of those family offices, DBS. So we do know that we are punching above our weight in some of the new flows that come in.

Nicholas Teh

So with that, there's no more questions in queue. Thanks, everyone, for dialing in, and we'll see you next quarter.

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